

BOARD MEETING OF THE CBA
MINUTES
(01.02.2022)

On the Refinancing Rate

The CBA Board Meeting of February 1, 2022 attended by Governor M. Galstyan, Deputy Governors N. Yeritsyan and H. Khachatryan, and Board Members A. Stepanyan, H. Ghahramanyan, D. Nahapetyan, A. Manukyan

The Board meeting opened with a report of the situation as of February 1. It addressed the developments on inflation, external environment, and real, fiscal, financial and monetary sectors of the economy.

As noted, in December 2021 1.6% inflation was recorded, as opposed to 3.4% inflation in the same month of the previous year. The monthly inflation was largely contributed by 3.1% growth in "Food, Beverages and Tobacco" product group, in the structure of which the price growth of fruit and vegetable subgroups prevailed (4.9% and 16.4% respectively). In December, prices for non-food products and services grew as well, by 0.5% and 0.4%, respectively. **As a result, at the end of the month 12-month inflation fell below the expected level, to 7.7%.** The deviation from the projection was mainly conditioned by a lower-than-expected growth of seasonal goods. During the month, **the 12-month core inflation** decreased in line with the Central Bank's forecast, making **7.3%**.

Current developments in the foreign sector were presented. First, it was noted that while a new wave of the pandemic is spreading rapidly worldwide, the new type of infection poses less of a health risk, especially due to the active use of vaccines and therefore, countries apply only local restrictions. As a result, the impact of the new wave of pandemic on economies is assessed as weak, and the recovering of economic activity and aggregate demand in the main partner countries of Armenia continues. At the same time, it was stated that amid the high energy prices and production chains' disruption, a high inflationary environment in international commodity markets persisted. The latter is reflected in higher-than-expected inflation dynamics in the partner countries, given which central banks of those countries resort to a faster tightening of monetary conditions than previously expected.

The Board reviewed current developments of the RA economy, and it was noted that the spread of the new wave of pandemic has been evident also in Armenia, and its impact on economic activity, in the absence of significant economic constraints, is estimated to be mild. At the end of 2021, higher-than-expected economic activity was observed in the construction and industry sectors, indicating that positive trends of the economic growth surpass the expectations. At the same time, aggregate demand continues to be greatly contributed by high external demand and remittances from abroad, and the positive environment of demand is reflected in the maintenance of inflation background. According to current estimates, both in 2022 and in the medium term, fiscal consolidation implemented in line with the principle of debt sustainability will have a certain restraining effect on domestic demand, however, as a result of large-scale capital expenditures planned in the medium term, that effect will be significantly mitigated.

The Board reviewed the developments in financial market of the Republic of Armenia and noted that short-term market interest rates were formed around policy rate of the Central Bank. It was noted that the slow pace of lending to the economy by the financial system continues, reflecting the impact of low investment activity and the end of the government support programs launched in 2020. At the same time, as a result of implementation of a number of loan programs, the high growth rates of mortgage lending are maintained.

Inflation developments and estimates of inflation expectations were presented to the Board. It was noted that despite a slight decrease of inflation at the end of the year, it persists at a high level in the face of external inflationary impacts and a positive demand environment. At the same time, quarterly annualized core inflation grew in the fourth quarter, from 4.7% in the previous quarter to 5.6%. It was also noted that, the impact of the expected changes in the prices of regulated services in parallel with inflation factors, is reflected in the public inflation expectations.

Following a discussion of the situation report and external and domestic macroeconomic developments, the Board proceeded to addressing the monetary policy directions and making decision on the policy rate. Taking into account the inflationary effects still persisting in foreign economy and the Republic of Armenia, as well as the projected developments of inflation expectations, **the Forecasting Team suggested to the Board increasing the refinancing rate by 0.25 percentage points.** The majority of the board members supported the proposed increase, emphasizing the importance of consistency of the CBA's actions. However, according to estimation of some members of the Board, the current developments in inflation show that recent policy actions to meet the inflation target in the forecast horizon can now be considered sufficient. **Finally, the CBA Board decided with a majority of voices to raise the refinancing rate by 0.25 percentage point.** It was projected that under these policy measures, the 12month inflation would gradually decrease and in the forecast horizon would approach the target of 4%.

The Central Bank Board considered that while the uncertainty related to macroeconomic prospects has decreased to some extent, it is still high due to geopolitical developments, and the risks of inflation deviating from the projected path are mainly upwards. In case of their materialization the Central Bank stands ready to respond accordingly in fulfilment of the price stability objective.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached.

Setting Interest Rate

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ON PRESS RELEASE RELATING TO SETTING INTEREST RATES OF THE REPUBLIC OF ARMENIA CENTRAL BANK MONETARY POLICY INSTRUMENTS AND REFINANCING RATES

By virtue of Article 2(3), Article 20 "c" and "e" of the Republic of Armenia law "On the Central Bank", and provisions of the Republic of Armenia law "On Normative Legal Acts", the Board of the Republic of Armenia Central Bank, herewith enacts:

1. Set the refinancing rate of the Central Bank of the Republic of Armenia at 8.0%.
2. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 9.5%:
3. Set the lombard repo facility rate offered by the Central Bank of the Republic of Armenia at 6.5%:
4. Approve the press release on refinancing rate of the Central Bank of the Republic of Armenia (attached).
5. This decision shall enter into force on the day following the day of its publication on the website of the Central Bank of the Republic of Armenia.

Martin Galstyan,
Governor of the Central Bank
Republic of Armenia

February 1, 2022
Yerevan

PRESS RELEASE

01.02.2022

Refinancing Rate Set at 8.0%

At February 1, 2022 meeting, the CBA Board decided to raise refinancing rate by 0.25 percentage points, setting it at 8.0%.

12-month inflation in December 2021 decreased to 7.7%. 12-month core inflation dropped in line with the CBA projections and totaled 7.3%.

Economic recovery continues in the main partner countries of Armenia. Amid higher energy prices and production chains' disruptions, high inflationary environment in the international markets of food and commodities persists. The increase in international prices is further reflected in a higher-than-projected level of inflation in the partner countries. To this end, Central Banks of the partner countries plan to tighten monetary conditions at a faster than expected pace. As a result, the external sector will still have an inflationary impact on the Armenian economy.

A new wave of the pandemic is spreading rapidly in Armenia, but its impact on the economy is presumably mild. At the end of 2021, higher-than-expected economic activity was observed in the construction and industry sectors. The Board agrees that aggregate demand remains high due to external demand, thus still conducting to the inflationary environment. The latter, as well as the expected changes in regulated prices, are reflected in the dynamics of inflation expectations.

In view of the above, the Board judges appropriate to increase the refinancing rate. Due to these policy actions, 12-month inflation will gradually decrease and approach the 4% target in the forecast horizon. The Central Bank Board considers that given geopolitical developments, the uncertainty related to the macroeconomic prospects is still high. At the same time, risks of inflation deviating from the projected path are mainly upwards. Should these risks materialize, the Board stands ready to respond accordingly in fulfilment of the price stability objective.

Detailed information on the interest rate decision will be available in the Press Release to be published by February 15, 2022 (Interest Rate Statement).

In case of using the Press release, the reference to the source is mandatory.

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